

EQUITY – RESEARCH METHOD

The last page introduced us to the entire math of direct equity investing. Let us see how analysts estimate the intrinsic value of the company. They do things like:



Study Annual Reports
of Last 5-7 Years



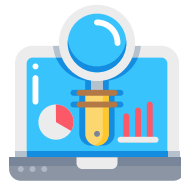
Conference Calls



Tracking Quarterly
Results



Financial Analysis



On-ground Research



Management Meets

However, most do not have the skill or the time to invest in equities directly and move towards indirect equity. Secondly, we should stay away from 'tips'. Tips are not backed by adequate research and because they have so many incentives behind them. The number one reason why people lose money in stocks is that they think they know it all and invest with inadequate skill and research.

Therefore, we can safely conclude that direct equity investing is full-time work. Knowing a company in and out is a lot of effort. We need to have the skill as well the time to go through the same. If we have the skill and time to go through the above process, direct equity investment is suitable for us. If we do not have the skill or time, we must let go of direct equities and move towards indirect equities.